

The story of this year doesn't end with the 27% trading gains, of course. There is some good news and there is some bad news. The good news is that we also got some free money from Uncle Sam for stashing our capital reserves with him. For futures trading we only need a small portion of the total capital for margin, so the rest we put in short-term treasuries. The income on this depends very much on how high is the interest the government is paying. Some years we get quite a nice contribution, other years it's marginal. This particular year, we got 1.8% added to the bottom line of the portfolio.

In the bad news category, there are fees to be paid. We're charging a 1.5% management fee and a 15% performance fee to the portfolio. The silver lining is that this money goes to you, dear trader, and is paid by your investors.

The management fees for this year totalled 1.8%, by chance, the same amount as the interest income (Table 6.4). How, you ask, is this possible when we just agreed on a 1.5% management fee? Welcome to finance. The fee is 1.5% of capital under management, and this is calculated and accrued each day, and paid on a quarterly basis. As we've seen gains over the year, the basis of this calculation is growing along with the portfolio's total value. If you then divide the actual management fees for the entire year by the starting value of the portfolio, you'll end up with a number greater than the nominal 1.5%. This is the real beauty of asset management. Your fee is expressed as a percentage of assets managed, and if you grow those assets, your fee grows automatically.

The management fees are your base pay as an asset manager, your salary, if you like. This money you'll get regardless of your performance, and thus you need to make sure that you and your trading business can survive on it.

TABLE 6.4 Results 2002		
	US\$	Percentage
Starting NAV	10,000,000	100.00
Trading result	2,468,651	24.70
Interest income	180,566	1.80
Management fee	184,107	1.80
Performance fee	369,767	3.70
Net result	2,095,344	21.00
Ending NAV	12,095,344	121.00